

became used to living a life of luxury. The realization that his good fortune would end proved very painful. To downscale and have to give things up would be difficult for Ken to do. He knew how his friends, also recent college graduates, were struggling financially. Now Ken had no choice but to join them in their “budget” lives.

Looking back on this time in his life, it is still hard for Ken to believe that his inheritance has disappeared. He received \$80,000 at the age of twenty-two. By the time he turned twenty-four his inheritance was gone. How could such a large sum of money have disappeared so quickly? He suddenly realized why “windfall” was such an appropriate word. The wind comes and goes without a trace, just like his inheritance did.

Whether rich from the lottery, an inheritance, a bonus from work, or settling some type of legal dispute, people often go on a spending spree with no regard for their long-term costs. Commonly, such people end up a few months or years down the road with a lot of toys (depreciating assets) and a standard of living that cannot be maintained.

Some of the most common things major lottery winners have done are:

1. Put money in the bank (earning low or zero interest)
2. Made bill/loan payments
3. Shared with relatives
4. Purchased a car
5. Purchased appliances/furnishings
6. Renovated home
7. Took vacation(s)
8. Made mortgage payments
9. Made charitable donations
10. Invested in stocks

